

Q 1. The minimum duration of a loan against an insurance policy is of _____ .

- ☐ 15 days
- ☐ 30 days
- ☐ 2 months
- ☐ 3 months
- ☐ 6 months

☒ UnAttempted

CORRECT ANSWER:

6 months

Explanation:

The minimum duration of a loan against an insurance policy is of 6 months.

Q 2. Accepting a policy at O.R means that _____ .

- ☐ the policy is accepted with a counter offer
- ☐ the policy is accepted with exclusions
- ☐ the policy is accepted with additional premium
- ☐ the person to be insured is a standard or normal risk
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

the person to be insured is a standard or normal risk

Explanation:

Accepting a policy at O.R means the person to be insured is a standard or normal risk.

Q 3. Whose primary job is to ensure that an inordinate number of 'Poorer than average' risks are not accepted and the insurance company should not lose money ?

- ☐ Actuary
- ☐ Auditor
- ☐ Approver
- ☐ Bank
- ☐ Underwriter

☒ UnAttempted

CORRECT ANSWER:

Underwriter

Explanation:

The underwriting process assesses the risk proposed to be insured and is the basis of the decision to accept the offer for insurance and on what terms insurance or decline the offer for insurance.

Q 4. In the case of "L.I.C"., _____ year is the period from the date of the agent's appointment to the end of the month in which they complete twelve months as agent and every successive period of twelve months thereafter.

- ☐ Accounting
- ☐ Agency
- ☐ Appointment
- ☐ Schedule
- ☐ Bonus

☒ UnAttempted

CORRECT ANSWER:

Agency

Q 5. _____ means instructing the insurance company to start the periodic payments.

- ☐ Vesting
- ☐ Annuitising
- ☐ Commutation
- ☐ Deferment
- ☐ Premium

☒ UnAttempted

CORRECT ANSWER:

Annuitising

Q 6. With respect to CLAIM INQUIRY, which of these statements is TRUE ?

- ☐ Only in case of a maturity claim, Insurance company makes enquiry.
- ☐ Only in case of a death claim, Insurance company makes enquiry.
- ☐ Insurance company makes enquiry only in case of a death claim as well maturity claim
- ☐ Insurance company makes enquiry only in case of a death claim which occurs within one year from policy inception date
- ☐ Both statements 1 and 4 are correct

☒ UnAttempted

CORRECT ANSWER:

Insurance company makes enquiry only in case of a death claim which occurs within one year from policy inception date

Explanation:

Early claims are dealt with cautiously by insurers. When an early claim occurs, there is a need to make sure that there was no attempt to defraud the insurance company. Enquiries are made to confirm that no information was suppressed. This is done both to ensure the genuineness of the claim and safeguard the interests of the community of policyholders.

Q 7. What are the claims known as which arise within two years of the date of commencement or reinstatement of the policy ?

- ☐ Fast Claims
- ☐ Early Claims
- ☐ Special Claims
- ☐ Free Claims
- ☐ Forged Claims

☒ UnAttempted

CORRECT ANSWER:

Early Claims

Explanation:

Claims arising within two years from date of commencement or revival are termed as Early death claims.

Q 8. _____ is not applicable as document to ascertain one's identity in accordance with the KYC process.

- ☐ Identity proof
- ☐ Address proof
- ☐ Educational document proof
- ☐ Age and date of birth proof
- ☐ Employment proof

☒ UnAttempted

CORRECT ANSWER:

Address proof

Explanation:

The Government of India has notified six documents as 'Officially Valid Documents (OVDs)' for the purpose of producing proof of identity. These six documents are Passport, Driving Licence, Voters' Identity Card, PAN Card, Aadhaar Card issued by UIDAI and NREGA Card. You need to submit any one of these documents as proof of identity. If these documents also contain your address details, then it would be accepted as 'proof of address'. If the document submitted by you for proof of identity does not contain address details, then you will have to submit another officially valid document which contains address details.

Q 9. The process which assesses the entire spectrum of risks in its totality and then arrives at a decision is known as _____.

- ☐ Acturization
- ☐ Arbitraging
- ☐ Hedgeing
- ☐ Underwriting
- ☐ Investing

☒ UnAttempted

CORRECT ANSWER:

Underwriting

Explanation:

The Underwriting Process assesses the risk proposed to be insured and is the basis of the decision to accept the offer for insurance and on what terms insurance or decline the offer for insurance.

Q 10. Insurance involves transfer of _____.

- ☐ calamity
- ☐ ownership
- ☐ liability
- ☐ risk
- ☐ needs

☒ UnAttempted

CORRECT ANSWER:

risk

Explanation:

Transfer of risk is the underlying tenet behind insurance transactions. The purpose of this action is to take a specific risk, which is detailed in the insurance contract, and pass it from one party who does not wish to have this risk, the insured, to a party who is willing to take on the risk for a fee, or premium, the insurer.

For example, whenever a person purchases home insurance, he is essentially paying an insurance company to take the risk involved with owning a home.

Q 11. Why does a policy holder choose to pay a slightly higher amount of premium for the same amount of insurance cover ?

- ☐ Due to higher risk cover
- ☐ Due to higher valuation surplus
- ☐ Due to rider benefits
- ☐ Due to higher sum assured
- ☐ Due to higher bonus

☒ UnAttempted

CORRECT ANSWER:

Due to rider benefits

Explanation:

Rider is an additional condition added to the base policy that gives add on benefits to the buyer.

Riders are useful to help increase insurance protection by adding a small premium on the basic policy.

Q 12. What is returned if the life assured dies during the deferment period ?

- ☐ Accumulated Bonus
- ☐ Sum assured and bonus
- ☐ Only Sum assured
- ☐ Some portion of the sum assured
- ☐ All the premium paid and the interest thereon

☒ UnAttempted

CORRECT ANSWER:

All the premium paid and the interest thereon

Explanation:

Deferment period is associated with Child Insurance. Its the duration between the commencement of policy and the commencement of risk.

If the child dies during this period, only the premiums paid will be returned.

Q 13. How can a policy holder choose to pay a slightly lesser amount of premium for the same amount of insurance cover ?

- ☐ By opting out of Bonus loading
- ☐ By opting out of Risk cover
- ☐ By opting out of Valuation surplus
- ☐ By opting out of Rider benefits
- ☐ By opting out of Sum assured

☒ UnAttempted

CORRECT ANSWER:

By opting out of Rider benefits

Explanation:

Riders are optional. If not taken, the premium amount is reduced but the insurance cover remains the same.

Q 14. An insurance agent advises his client on a low risk investment product but the client insists that the insurance agent must invest the clients money in a high risk product. What should the agent do ?

- ☐ Say No to the client and not do the investment
- ☐ Carry out these recommendations but document that this contradicts his recommendations
- ☐ Do a new fact finding study of products
- ☐ Invest a lower amount in the high risk product
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Carry out these recommendations but document that this contradicts his recommendations

Q 15. IRDAI regulations state that IGMS must be set up by _____ .

- ☐ All insurers
- ☐ All insurers who have a foreign tieup
- ☐ Only Life insurers
- ☐ Only Non Life insurer
- ☐ Only Private insurers

☒ UnAttempted

CORRECT ANSWER:

All insurers

Explanation:

The Integrated Grievance Management System (IGMS) facilitates online registration of policyholders' complaints and helps track their status. All insurers must set up the same.

Q 16. Who experiences the benefits under the policy in life insurance ?

- ☐ Insurance Company
- ☐ Policy holder
- ☐ Appointee
- ☐ Assignor
- ☐ Claimant

☒ UnAttempted

CORRECT ANSWER:

Claimant

Explanation:

When an insured event happens and the policyholder requests the insurance company to compensate them for their loss, the policyholder is making a claim.

A person making the claim is known as the claimant. In non-life policies, the claimant is the policyholder. In the event of death of a life insurance policyholder, the person making the claim is the claimant who could be a nominee, assignee or legal heir.

Q 17. _____ does not appear in a policy document.

- ☐ The date of policy proposal
- ☐ The date of birth of insured
- ☐ The date of commencement of policy
- ☐ The date of birth of nominee
- ☐ The date of maturity of policy

☒ UnAttempted

CORRECT ANSWER:

The date of birth of nominee

Q 18. Why is there a loading in a Term Plan ?

- ☐ Due to morbidity
- ☐ Due to mortality
- ☐ Due to investment expenses
- ☐ Due to inflation
- ☐ Due to Administrative charges

☒ UnAttempted

CORRECT ANSWER:

Due to Administrative charges

Explanation:

Premium needs to cover the cost of meeting expenses. Loading refers to such expenses.

Q 19. Which of the following cannot be a reason for denying an early claim settlement ?

- ☐ Premium is due and it has not been paid
- ☐ There is a strong evidence for suppression of information at the time of proposal
- ☐ Multiple claimants are under a legal suit for claim
- ☐ Proper documents for insured deaths were not furnished
- ☐ The agent who got the policy done is no longer with the company

☒ UnAttempted

CORRECT ANSWER:

The agent who got the policy done is no longer with the company

Q 20. If you have a conversion option in a term insurance policy , it can be converted into _____ .

- ☐ Whole life insurance
- ☐ ELSS Plan
- ☐ Limited term insurance
- ☐ Mortgage life insurance
- ☐ Decreasing term insurance

☒ UnAttempted

CORRECT ANSWER:

Whole life insurance

Explanation:

Convertible Insurance plans allow the insured to convert a term insurance plan into Endowment Plan or Whole Life Plan or any other conversion as allowed by the insurance company within a specified period.

Q 21. Who is the primary underwriter of a life assurance proposer ?

- ☐ Agent
- ☐ Underwriter
- ☐ Insurance Company
- ☐ IRDA
- ☐ Nominee

☒ UnAttempted

CORRECT ANSWER:

Agent

Explanation:

Agents are in direct contact with the proposer and so have an important part to play in the underwriting process and are considered as 'primary underwriters'.

The agent's confidential report is important for the insurer to be able to assess the risk and acceptability of the proposal of insurance.

Q 22. A person takes a life policy of tenure 25 years but stops paying the premium after 13th year. In such a case the insurance cover will be reduced to a lower amount. This re-calculated value of sum assured is based on the concept of _____ .

- ☐ Paid up value
- ☐ Deferred value
- ☐ Surrender value
- ☐ Accumulated premium
- ☐ Vested amount

☒ UnAttempted

CORRECT ANSWER:

Paid up value

Explanation:

As per the reduced paid up concept, the policyowner may request that the cash value of the policy be used to pay for the policy itself. This action would not terminate the policy, but would keep a reduced amount of paid up insurance in force under the same policy.

Q 23. What type of risk is the risk of suffering a DISABILITY ?

- ☐ Financial
- ☐ Fundamental
- ☐ Pure
- ☐ Particular
- ☐ Homogenous

☒ UnAttempted

CORRECT ANSWER:

Financial

Explanation:

Disability is a risk that can affect medical expenses and financial security. Disease/disability – these include medical expenses and loss of earnings.

Accidents do not always result in death. In case of disability, the policyholder is unable to earn their normal livelihood. They become a burden on the family. In such situations, Permanent Disability Benefit is useful.

Q 24. In the state's effort in social management, Life Insurance performs a _____ function.

- ☐ Non important
- ☐ Complementary
- ☐ Supplementary
- ☐ Mandatory
- ☐ Benefactor

☒ UnAttempted

CORRECT ANSWER:

Complementary

Q 25. Here is a situation : Mr. Ravi was applying for a life insurance policy and he confidentially disclosed to his insurance agent that he had a mild heart attack about 5 months back. The insurance agent did not mention this in the application form. As per IRDA's code of conduct, how should the insurance agent deal with this information ?

- ☐ The agent should refuse the proposal
- ☐ The agent should notify the insurer about this matter
- ☐ The agent should keep it confidential
- ☐ The agent should ask Mr. Ravi's doctor to send a detailed report to the insurer
- ☐ The agent should abstain from disclosure, keep the information to himself

☒ UnAttempted

CORRECT ANSWER:

The agent should notify the insurer about this matter

Explanation:

The Agent has to work in the best interests of the insurer.

Q 26. _____ is not applicable as an age proof.

- ☐ Club membership card
- ☐ Certificate of Baptism
- ☐ Certified extract from Municipal or other records made at the time of birth
- ☐ Certified extract from School or College records
- ☐ Identity cards issued to Govt. officials

☒ UnAttempted

CORRECT ANSWER:

Club membership card

Q 27. What is the additional premium called if bonus is given under a plan ?

- ☐ Contingency
- ☐ Earning
- ☐ Frequency
- ☐ Premium holding
- ☐ Loading

☒ UnAttempted

CORRECT ANSWER:

Loading

Explanation:

Some of the reasons for which insurers load net or pure premiums are Administrative expenses, Contingency charges and Bonus.

Bonus: will be paid to the with-profit policyholders. The policyholders that are entitled to the bonus have to pay some additional premium amount.

Q 28. If a person is quiet poor (no capital) and if financial planning is done for him, which saving needs is most likely to be addressed ?

- ☐ His needs for buying a house
- ☐ His needs for educating his children
- ☐ His needs for emergency funds
- ☐ His needs for savings for his children's future
- ☐ His needs for buying a two wheeler

☒ UnAttempted

CORRECT ANSWER:

His needs for emergency funds

Q 29. What is the demand on the insurer to fulfill its promises as per the terms of the policy called ?

- ☐ Terminating the Contract
- ☐ Sum assured
- ☐ Claim
- ☐ Revival
- ☐ Closure

☒ UnAttempted

CORRECT ANSWER:

Claim

Explanation:

An Insurance Claim is :

- A formal request to an insurance company
- asking for a payment
- based on the terms on the insurance policy

Q 30. Which article relates to Social Security ?

- ☐ Article 38
- ☐ Article 39
- ☐ Article 40
- ☐ Article 41
- ☐ Article 42

☒ UnAttempted

CORRECT ANSWER:

Article 41

Explanation:

As per constitution article 41 requires the State to make provisions for social security and various rights irrespective of work status

Q 31. _____ is the process of receiving a lump sum amount as a certain proportion of corpus on the vesting date and using the remaining amount to purchase annuity for the annuitant.

- ☐ Arbitrage
- ☐ Vesting
- ☐ Assimilation
- ☐ Super annuation
- ☐ Commutation

☒ UnAttempted

CORRECT ANSWER:

Commutation

Explanation:

Commutation: on the vesting date, the annuitant has two choices. The annuitant can either start receiving the regular annuity payment from the insurance company or withdraw 1/3rd of the total accumulated amount as a lump sum payment (commuted value) from the remaining balance, and request the insurance company to pay out regular annuity payments. This process is known as commutation.

Q 32. At the end of term of a policy, the maturity claim will be payable only if _____ .

- ☐ Insurance company is making profits
- ☐ Life assured survives till maturity date
- ☐ Life assured survives till maturity date and all premiums are paid till maturity date
- ☐ Life assured dies before maturity date
- ☐ All premiums are paid till maturity date

☒ UnAttempted

CORRECT ANSWER:

Life assured survives till maturity date and all premiums are paid till maturity date

Explanation:

Maturity Claim is associated with the Maturity Benefit of the Policy i.e. the claim which arises when the policy matures. It simply means that when the policy completes its tenure, a certain amount of money called Maturity Claim amount is settled towards the life assured. It is paid only if the policy completes its due course of time and the policy has been continued properly i.e. all premiums have been paid on time.

Q 33. Who takes the policy decisions for an Insurance Company ?

- ☐ The Top management
- ☐ The Actuaries
- ☐ The Underwriters
- ☐ The Trustees
- ☐ IRDA

☒ UnAttempted

CORRECT ANSWER:

The Top management

Explanation:

Policy decisions form internal structure of a company, and are taken by top management.

Q 34. Under an term insurance policy, how are Perils and Hazards distinguished ?

- ☐ Perils are factors which could influence an insured event and hazards are the actual events which will trigger a payout
- ☐ Perils are medical factors which influence the risk of dying and hazards are life style activities which influence the risk of dying
- ☐ Perils are risk that policy holders will die before a specified date and hazards are factors which could influence that risk
- ☐ Perils are factors which offset the risk of being insured and hazards are the size of risks being insured
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Perils are risk that policy holders will die before a specified date and hazards are factors which could influence that risk

- Q 35. Mr. Deven purchased an endowment policy for himself and nominated his 2 year old daughter but was unable to get the signature of the appointee because his wife was unavailable at that time. Four year later Mr. Deven dies in an accident. If the claim was still active and his wife and daughter are alive, to whom would the claim be payable ?
- ☐ Mr. Deven's wife
 - ☐ Court appointed trustees
 - ☐ Legal heirs of Mr. Deven
 - ☐ Appointee
 - ☐ Mr. Deven's daughter when she becomes a major

☒ UnAttempted

CORRECT ANSWER:

Legal heirs of Mr. Deven

Explanation:

In case the nominee appointed is minor and no appointee has been appointed, then the proceeds of the death claim will go to the legal heirs of the deceased.

- Q 36. If the sum assured is Rs 750000, calculate the premium amount for half yearly mode if the tabular premium for plan term 5-35 is 32.50.
- ☐ 12186
 - ☐ 12187
 - ☐ 12188
 - ☐ 12189
 - ☐ 12190

☒ UnAttempted

CORRECT ANSWER:

12188

Explanation:

$32.50 \times 750000 / 1000$

$= 24375$

Half Yearly $= 24375/2 = 12187.50$

(Refer to circular RPCD.No.RF.BC.68/D.1-90-91 dated January 1, 1991, in terms of which banks were advised that all transactions, including payment of interest on deposits/charging of interest on advances, should be rounded off to the nearest rupee; i.e. fraction of 50 paise and above shall be rounded off to the next higher rupee and fraction of less than 50 paise shall be ignored)

So the premium will be 12188

- Q 37. Among the given options, which factor will be affected if mortality rate changes ?
- ☐ Net incurred claims
 - ☐ Expenses of management
 - ☐ Net earned premium
 - ☐ Investment income
 - ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Net incurred claims

Explanation:

Mortality Rate or Death Rate is a measure of number of deaths in a particular population.

Net incurred claims = Amt. Of claims - Reinsurance recoveries

So when mortality rate changes, the net incurred claim changes

- Q 38. In a health insurance policy, children are covered from the age of ____.
- ☐ from birth itself
 - ☐ from 30 days
 - ☐ from 91 days
 - ☐ from 1st year
 - ☐ from 5th year

☒ UnAttempted

CORRECT ANSWER:

from 91 days

Explanation:

A younger child will be covered from the 91st day onwards, if both parents are covered under the policy.

Q 39. What is a potential purchaser of a product called ?

- ☐ Candidate
- ☐ Prospect
- ☐ Client
- ☐ Consumer
- ☐ Underwriter

☒ UnAttempted

CORRECT ANSWER:

Prospect

Explanation:

Prospect : Potential customer or client qualified on the basis of his or her buying authority, financial capacity, and willingness to buy. Also called sales lead.

Q 40. As per _____ of the Insurance Act 1938, insurance agents cannot offer rebates on whole or part of their commission.

- ☐ Section 41
- ☐ Section 42
- ☐ Section 43
- ☐ Section 44
- ☐ Section 45

☒ UnAttempted

CORRECT ANSWER:

Section 41

Explanation:

A number of insurance agents pay a part of their commission to the policyholders (called rebating) in order to increase their business. This is illegal and offering concession (rebates) to policyholders is not allowed as per section 41 of the Insurance Act 1938.

This leads to cancellation of the agent's licence. In addition, the agent has to pay penalty.

Q 41. Which insurance plan gives cover only in the event of death during a specific term ?

- ☐ Health Plan
- ☐ Term Plan
- ☐ Life insurance
- ☐ Whole life assurance policy
- ☐ Basic insurance

☒ UnAttempted

CORRECT ANSWER:

Term Plan

Explanation:

Term insurance provides only death cover i.e. the sum assured is paid to the beneficiary if the insured dies within the specified period. If the insured does not die within the specified period, no payment is made.

Q 42. Which of these conditions are intended for the information of the insured ?

- ☐ Explanatory Conditions
- ☐ Restrictive Conditions
- ☐ Privileges
- ☐ Supplementary benefits
- ☐ Secondary Conditions

☒ UnAttempted

CORRECT ANSWER:

Explanatory Conditions

Explanation:

Explanatory Conditions are for the information of the insured, they clarify the policy conditions.

Q 43. Which group scheme has been specially designed to discharge the gratuity liability of the employer ?

- ☐ Group ULIP schemes
- ☐ Group insurance scheme
- ☐ Group super annuation scheme
- ☐ Employees Deposit-linked insurance scheme
- ☐ Group gratuity scheme

☒ UnAttempted

CORRECT ANSWER:

Group gratuity scheme

Explanation:

Group Gratuity Scheme : According to the Payment of Gratuity Act 1972, any company having more than 10 employees, has to provide gratuity to its employees. Gratuity needs to be paid in the case of:

> the death of the employee

> disability of the employee

> on the resignation of the employee (subject to certain conditions)

> on the retirement of the employee

Q 44. Insurance Regulatory Body was established in ____ .

- ☐ 1938
- ☐ 1956
- ☐ 1999
- ☐ 2000
- ☐ 2009

☒ UnAttempted

CORRECT ANSWER:

2000

Explanation:

The Insurance Regulatory and Development Authority (IRDA) Act was enacted in 1999. The statutory authority - IRDA was established in 2000.

Q 45. How is insurance penetration measured ?

- ☐ As a ratio of premium and Gross domestic product (GDP)
- ☐ As a ratio of average premium and number of policies
- ☐ As a ratio of premium and total population
- ☐ As a ratio of Average premium and GDP
- ☐ As a ratio of premium and number of policy holders

☒ UnAttempted

CORRECT ANSWER:

As a ratio of premium and Gross domestic product (GDP)

Explanation:

Insurance penetration = Percentage of Insurance premium / GDP

Q 46. Insurance premiums cannot be paid by ____ .

- ☐ Cash
- ☐ Direct Remittances
- ☐ Pay Order
- ☐ Bank Demand Draft
- ☐ Postal Order

☒ UnAttempted

CORRECT ANSWER:

Direct Remittances

Explanation:

A remittance is the funds an expatriate sends to their country of origin via wire, mail, or online transfer.

Premiums are to be paid in Indian rupees. Premiums cannot be paid from across the borders.

Q 47. Who does the pricing of an insurance policy scheme ie. the premium etc ?

- ☐ Agents
- ☐ SEBI
- ☐ Insurance Councils
- ☐ Insurance Companies
- ☐ IRDA

☒ UnAttempted

CORRECT ANSWER:

Insurance Companies

Explanation:

The insurance company has to calculate the premium amount very carefully. The premium should be sufficient enough to meet all the expenses / claims of the company.

Q 48. Compensation for injury or death caused to any person, other than a workman or property, occurring while handling hazardous substances is covered under which act ?

- ☐ The Carriage by air act
- ☐ The Railways claim tribunal act
- ☐ The Carriers act
- ☐ Public Liability insurance act
- ☐ Workmens Compensation act

☒ UnAttempted

CORRECT ANSWER:

Public Liability insurance act

Q 49. The Governing body of the Insurance council is formed under sec 40 C of _____ .

- ☐ SEBI Act 1992
- ☐ The Companies Act 1956
- ☐ The Insurance Amendment Act
- ☐ The General Insurance Business (Nationalisation) Act 1972
- ☐ The Insurance Act 1938

☒ UnAttempted

CORRECT ANSWER:

The Insurance Act 1938

Q 50. What sets out the circumstances that must be present before an insurance company will pay out any claims to the insured parties, in an insurance policy ?

- ☐ Proviso
- ☐ Preamble
- ☐ Schedule
- ☐ Operative Clause
- ☐ Agreement annexure

☒ UnAttempted

CORRECT ANSWER:

Operative Clause

Explanation:

The operative clause lays down the mutual obligations of the parties regarding:

- the payment of premiums by the insured; and
- the payment of the sum insured by the insurance company on the happening of the insured event, subject to the production of age proof and title by the claimant.